And after Euro VI came in, their sales fell sharply in the initial years. The same happens to small cars," he says. Also, it seems strange that while scooters have hardly any safety features, policymakers want a car—a product of next-level aspiration for two-wheeler owners—to be loaded with 100 per cent of the safety features found in larger cars. What's lacking, carmakers feel, is a transitional stage between zero safety and full safety.

Yet another hurdle is car insurance: a three-year insurance policy is mandatory at the time of car purchase. This means the premium has to be paid in advance for three years to ensure coverage for any liability arising from third-party damages or injuries. Road tax and Goods and Services Tax (GST) are additional burdens. In Maharashtra, for example, road tax varies with fuel and vehicle price—petrol vehicles (up to Rs 10 lakh) pay 11 per cent, diesel 13 per cent and CNG 7 per cent. Similarly, in Delhi, petrol (up to Rs 6 lakh) and CNG vehicles attract 5 per cent and diesel vehicles 6.25 per cent road tax. Meanwhile, small cars with engine capacities below 1200cc are levied 18 per cent GST. Put together, these add as much as 10 per cent to the car's initial cost.

THE SUV SURGE

A key factor behind the slump in small car sales is the shifting buyer preference for toward subcompact sports utility vehicles (SUVs). Models like the Tata Nexon, Maruti Suzuki Brezza and Hyundai Venue are seeing higher demand—not just because they're priced under Rs 10 lakh, but also because buyers now favour the larger size. Their sturdy road presence, upright seating style and smoother ride are major draws. Sales of SUVs grew from just 716,976 units in 2020 to 2.34 million units in 2024, while that of multipurpose vehicles (MPVs) from 287,663 in 2020 to 586,467 units in 2024. SUVs commanded a 54 per cent share of the car market in 2024, compared to 29 per cent just four years ago. "As incomes rise and credit becomes more accessible, buyers move upmarket," says Ravi Bhatia, president and director, JATO Dynamics, a consultant. People want more features, more comfort, more brand appeal. "Automakers prefer that too. It's easier to make money on a well-equipped mid-size SUV than on a barebones hatchback."

Small car manufacturers now fear inventory buildup at dealerships due to lagging sales and have turned cautious. "Till last year, it was all wholesale. Many of us were pushing cars out to the dealers and building inventory with them. They were all reported as sales. But now, we are moving much more towards retail figures," says Bhargava. "There is no purpose in pushing cars to the dealers and keeping large inventories and then giving big discounts to sell those cars."

Buyers are also gravitating towards used cars. "A five- or six-year-old car today isn't what it used to be. It's safer, better-built and loaded with tech," says Bhatia. "For many first-time buyers, it becomes the smarter option: more car for less money. That puts pressure on new entry-level models, which often end up looking underwhelming in comparison." India's used-car market surpassed new car sales in 2024, per a CARS24 report—5.4 million used cars sold versus 4.2 million new cars. The report also projects a 13 per cent compound annual growth rate (CAGR) in used car sales, pushing volumes to 10.8 million units by 2030. "In a way, the used car market becomes the new entry-level segment," Bhatia adds.



"Now a large segment of the car market isn't growing. Overall growth of the auto sector happens only when all segments grow"

— R.C. BHARGAVA
Chairman, Maruti Suzuki



"As incomes rise and credit becomes more accessible, buyers move upmarket. It's easier for the automakers to make money on a well-equipped mid-size SUV than on a barebones hatchback"

— RAVI BHATIA
President & Director, JATO Dynamics

A TAXING TRANSITION

With regulatory requirements firmly in place, carmakers are now calling on the central and state governments to ease the tax burden and make small cars more affordable. Bhargava suggests a few measures: "First, GST has to be reviewed and reduced. Second, the road tax must become an annual tax. And the three-year insurance should become an annual insurance." If the road tax is spread to an annual tax, it would improve the initial buying price by 10 per cent. India has a relatively low number of cars per capita compared to developed nations. Roughly, there are 34 cars for every 1,000 people, significantly lower than in countries like the US (860 cars per 1,000 people) or Japan (612 cars per 1,000 people). India needs to bring down the prices of small cars if more people have to find them affordable.

While the car market is naturally progressing toward larger vehicles with better safety features, the transition from two-wheelers to cars has become challenging due to affordability. For India to improve its per capita car ownership, addressing this affordability barrier is essential—as well as urgent. ■